

Malaysia: Further poll setback likely for Anwar

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【メール原文】

Early indications point to Malaysian Prime Minister Anwar Ibrahim struggling to gain support in upcoming Melaka legislative assembly election.|||||||

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Malaysia: Anwar likely to suffer further setback in state poll

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Malaysia

By Fadli Yusoff

Short-term trajectory:

Long-term trajectory:

Prime Minister Anwar Ibrahim's coalition is likely to lose the Melaka state election. No date has been set for the poll, which must be held by February, but it is widely expected to take place later this year, most likely in September or November.

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The election is likely to pit Anwar's Pakatan Harapan (PH) coalition against its federal coalition partner Barisan Nasional (BN) again, as in recent state polls—underscoring mounting strains within the ruling alliance. BN is expected to retain control of Melaka, as it benefits from incumbency, several popular younger state leaders, and momentum from recent electoral victories in Johor and Negeri Sembilan state elections. A PH loss would mark the fourth consecutive state poll over the past year in which Anwar's coalition has failed to win.

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The result will not alter the composition of the federal parliament, and Anwar is still likely to remain in office until the next general elections, expected in late 2027. Nevertheless, another setback would increase pressure on him to bolster support. He will likely do this through higher public spending, such as planned increases in cash handouts and armed forces salaries, and expanded use of lawfare against

political rivals and to ensure BN continues to support him.

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A key watchpoint will be BN's cooperation with the federal opposition Parti Islam Se-Malaysia (PAS). Loose coordination between the two parties in recent state elections has helped limit vote splitting and enabled them to capitalize on Malay-Muslim identity politics. However, disagreements over seat allocations are likely preventing a similar arrangement in Melaka. Failure to cooperate would suggest that BN and PAS will likely face greater difficulty coordinating or forming a federal coalition in the general elections, which will ultimately benefit Anwar.

By Fadli Yusoff

Malaysia's Taiwan stance unlikely to change despite Anwar's pro-Beijing remarks. In an interview, Anwar said that he sees Taiwan "as part of China" and drew an analogy to Malaysia, saying he would use force if a Malaysian state attempted to break away. Critics and the opposition have interpreted these comments as support for a Chinese military takeover of Taiwan.

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China's foreign ministry commended Anwar's remarks, although it did not echo his comments on the use of force. Meanwhile, Taiwan's foreign ministry described the remarks as "false claims" that could "negatively affect the confidence of Taiwanese businesses investing in Malaysia." Taiwan is Malaysia's fourth-largest trading partner and an important investor in its crucial semiconductor industry.

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Likely concerned about a commercial backlash, Anwar softened his position several days later. He said his comments were "nothing new" and that they merely upheld Malaysia's longstanding One China Policy. He also stressed that "a peaceful path is best" for cross-strait relations, while blaming the media for amplifying his earlier remarks.

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Anwar's comments do not represent a shift in Malaysia's foreign policy, and instead were likely unplanned and intended partly to demonstrate goodwill ahead of his China trip next month. Although the broader Malaysian population is relatively pro-China, a sizeable segment of the Chinese community—an important support base for Anwar—retains close educational and cultural ties with Taiwan.

Indonesia

By Olga Letticia

Short-term trajectory:

Long-term trajectory:

Forest fires raise pressure on Prabowo's food security push. Indonesia's worsening forest and land fires are complicating President Prabowo Subianto's drive to expand domestic food and commodity production. El Niño and prolonged dry conditions are increasing fire risks, while deliberate burning and land clearing remain important drivers. The fires have yet to materially threaten national food supplies, but a prolonged fire season could force the government to strengthen controls over agricultural and plantation expansion, potentially slowing parts of Prabowo's self-sufficiency agenda.

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Authorities recorded more than 5,100 fire hotspots in August, the highest figure since 2015, while fires have affected more than 36,000 hectares across 10 provinces. El Niño has intensified dry conditions, but authorities are also investigating 89 fire-related cases and have arrested 72 people suspected of

deliberately starting fires, including for land clearing. Dry conditions have been severe, with about 77% of Indonesia's seasonal zones already experiencing the dry season and 91% recording below-normal rainfall.

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Prabowo has made food security a core priority. Palm oil is increasingly important to both food and energy security following the B50 biodiesel mandate, which is expected to raise crude palm oil demand to 18 million tonnes in 2026. The government says it will meet demand primarily by raising productivity on existing plantations, but recurring fires and suspected land clearing highlight the governance risks around expanding agricultural and plantation output. There is little evidence of a national food-supply shock, but persistent fires could damage agricultural land, disrupt plantation operations, and increase environmental compliance costs, potentially slowing Prabowo's push to expand domestic production.

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In January, Prabowo took a more interventionist approach following the Sumatra flooding, including revoking permits for 28 companies covering more than 1 million hectares for forest-use violations. He has also taken a similar stance on the fires, with police investigating potential corporate involvement in land clearing and Prabowo ordering permits to be revoked for companies found responsible. Smoke is also spreading into Malaysia and Brunei, including the closure of nearly 600 schools in Sarawak, which adds diplomatic pressure. The key watchpoint is whether the government moves to tighten controls on land clearing and plantation expansion.

By Olga Letticia

Jokowi will reassert his political influence amid Prabowo tensions. Former president Joko Widodo (Jokowi) has increased his public engagement, including an unusually open interview on 11 August, as Prabowo faces growing friction with parts of the media and civil society. Jokowi also appeared alongside Prabowo and Vice President Gibran Rakabuming Raka, Jokowi's son, during Indonesia's 81st Independence Day celebrations, underscoring that neither side wants a public rupture.

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In his interview, Jokowi discussed his relationship with Prabowo, Gibran's political trajectory, and his own political activities, including his involvement with Indonesian Solidarity Party (PSI). He stopped short of directly criticizing Prabowo, though his on-record acknowledgment that he had struggled to reach Prabowo by phone for months was the clearest signal yet of distance between the two. Jokowi's willingness to engage at length with Tempo—Indonesia's leading independent news magazine and a consistent critic of Prabowo—in his first on-record interview with the magazine since 2019 is notable. Prabowo had previously called journalists and NGOs "londo ireng" ("black Dutch"), a derogatory term for Indonesians perceived as serving foreign interests, drawing demands for an apology from journalist groups.

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Jokowi's appearance with Prabowo and Gibran at the ceremony suggests neither side currently wants to publicly rupture the relationship. The palace downplayed the optics, calling the seating arrangement largely logistical, but the occasion still offered a visible display of political continuity. Jokowi's continued association with Prabowo allows him to remain close to the administration while maintaining a more independent public profile.

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Jokowi's continued political activity could become more consequential as coalition and 2029 presidential election positioning develop. Jokowi retains influence through Gibran, PSI and networks built during his decade in office, while Prabowo controls the presidency and governing coalition. For now, there is no

indication that Jokowi is positioning himself against Prabowo. The key watchpoint is whether Jokowi uses his political network to build an independent power base or remains aligned with Prabowo; a split could affect coalition cohesion and shape succession politics ahead of the next election.

Vietnam

By Melinda Hoe

Short-term trajectory:

Long-term trajectory:

Proposed changes to land law could accelerate infrastructure projects. Draft amendments indicate that under the revised law, authorities could acquire land before they approve compensation, support, and resettlement plans, and before they complete resettlement arrangements.

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The amendments could reduce bottlenecks for infrastructure projects and help keep project completion within timelines. Land clearance, which takes place at the start of infrastructure projects, is typically time-consuming and often causes delays. Most recently, the National Assembly approved a \$3.3 billion increase in investment for a railway connected to China—bringing total investment to \$11 billion—due to delays in land clearance, including disputes over compensation for affected residents. This is just one of the several large-scale infrastructure projects that Hanoi is planning for in the next few years.

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However, the proposed changes would likely increase the risk that compensation and resettlement disputes emerge later in the project or even after completion. The changes could also enhance ESG-related risks for foreign investors.

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The amendments align with General Secretary To Lam's goal of accelerating project developments and boosting the country's economic growth. It is expected to be formally approved by the National Assembly during its October session.

Charting ASEAN

The Middle East crisis has hit the Philippine economy the hardest in ASEAN; Manila relies on imports of fuel from the Middle East and has also passed on the rise in global energy prices to domestic consumers (rather than opting for expensive subsidies). The fallout from the flood-control projects corruption scandal has also weighed on public investment for longer than expected. With fiscal resources constrained, the government is prioritizing infrastructure spending, ensuring allocated public funds are spent by addressing bottlenecks and pushing public-private partnerships. Buoyant tech exports have partly offset global energy headwinds in Vietnam, Malaysia, and Thailand (although Bangkok is still struggling to revive growth). Meanwhile, Indonesia has seen limited economic impact from the global energy crunch as the government has subsidized fuel prices, though this has required budget cuts to avoid significant deterioration in the fiscal position.

Event calendar

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